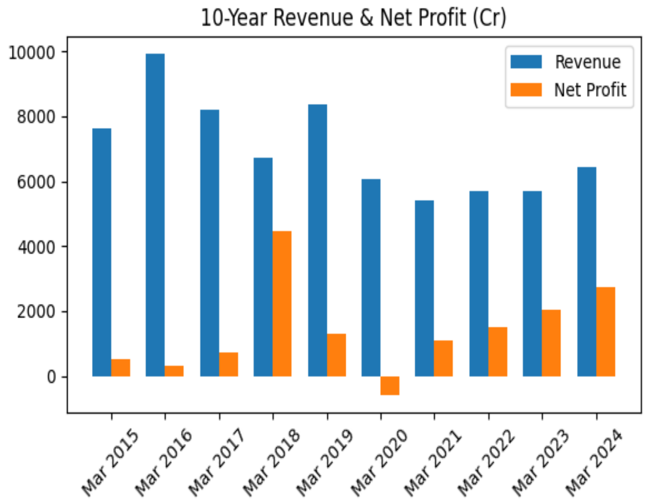
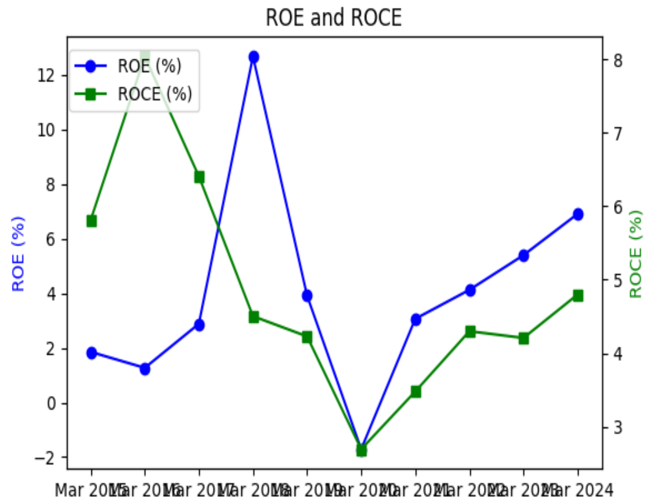
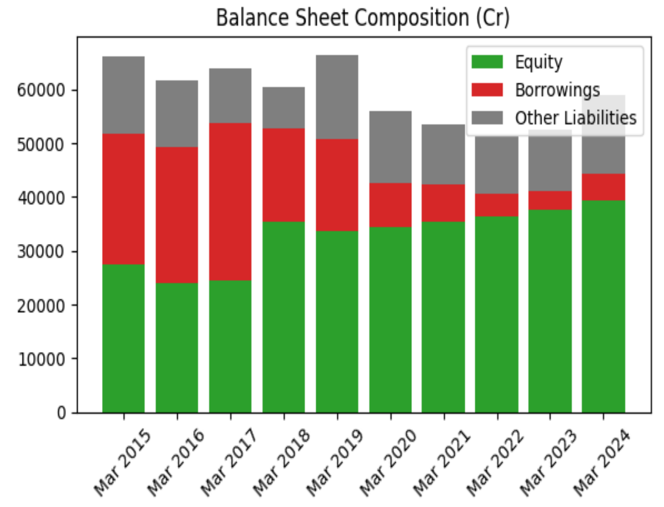
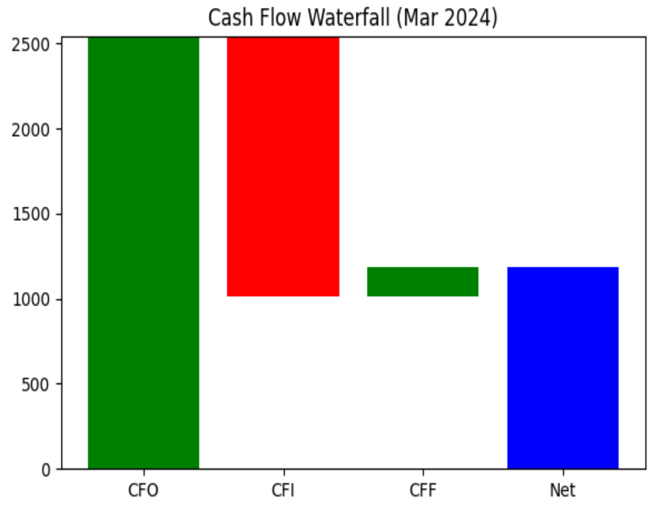
DLF Ltd (DLF)

Revenue ■7,001 Cr	**Net Profit** ■4,004 Cr	**ROE** 6.9%
ROCE 4.8%	**CFO Quality** High Quality	**Allocation** Mixed









Pros

- Return on equity improving for 3 consecutive years shows strengthening business quality
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Consistent dividend yield above 2% backed by positive free cash flow

Cons

- Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable
- Revenue growing at below 5% over 5 years lags inflation and suggests limited business momentum
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation Pattern: Mixed